

Vendor Rebate process and settings

Abstract -

This document covers -

Overview of SAP Vendor Rebates and Process Flow

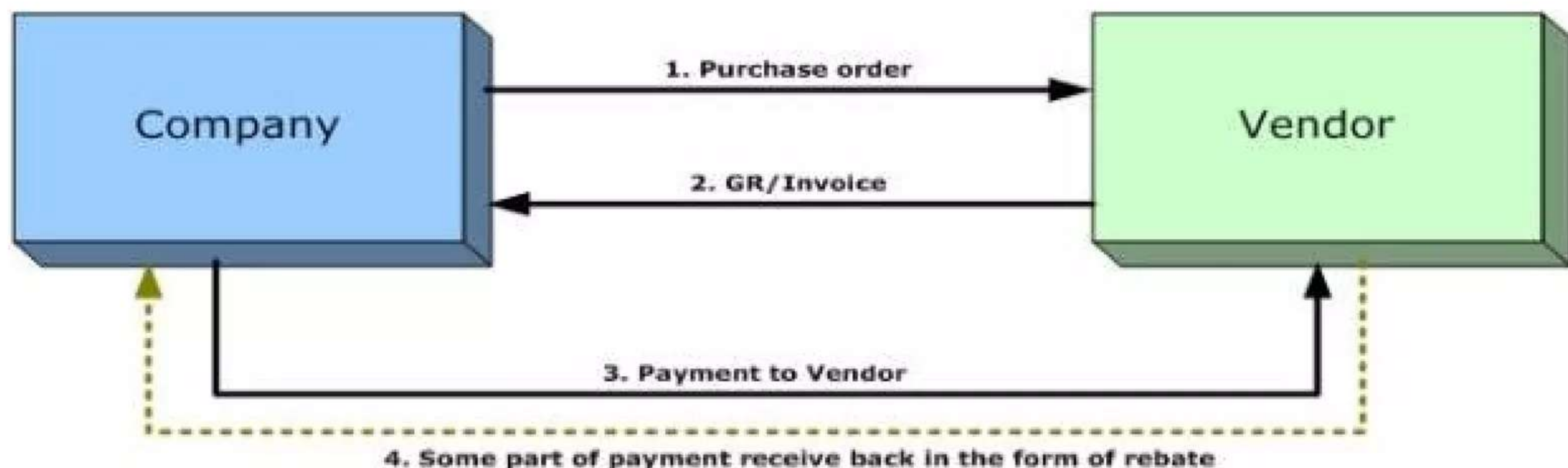
Master data, Transaction data and Configuration settings

What are the inputs required to setup vendor rebate functionality

Options we can leverage through SAP Vendor Rebate

Details -

Vendor rebate overview



Rebate Arrangement is contract that is made between the vendor & the buyer for giving certain percentage/value of discounts by vendor on purchase over a particular value/quantity of material.

These discounts are stored in the system as “Rebate arrangements”

These Rebates arrangements are having validity and we can extend the validity of such an arrangement to cover a longer time-span or "until further notice". For example, an arrangement created for one calendar year can be automatically replaced by a new, identical one that is valid for the following calendar year.

Levels for Vendor Rebates

Purchasing Organization based rebates –

In this case rebate arrangements are created based on purchasingorganization/vendor/material/company code combination. But Purchasing organization should be assigned to company code.

Plant based rebates –

In this case rebate arrangements are created based on purchasingorganization/vendor/material/company code combination. In this case it is not required to have Purchasing organization assigned to company code. We need to use this rebate type as in ELpurchasing organizations are assigned to plant.

Conditions and Discounts

Value based conditions (Scales) –

During a certain period if purchase value of certain materials exceeds the defined limit then discounts will come into picture.

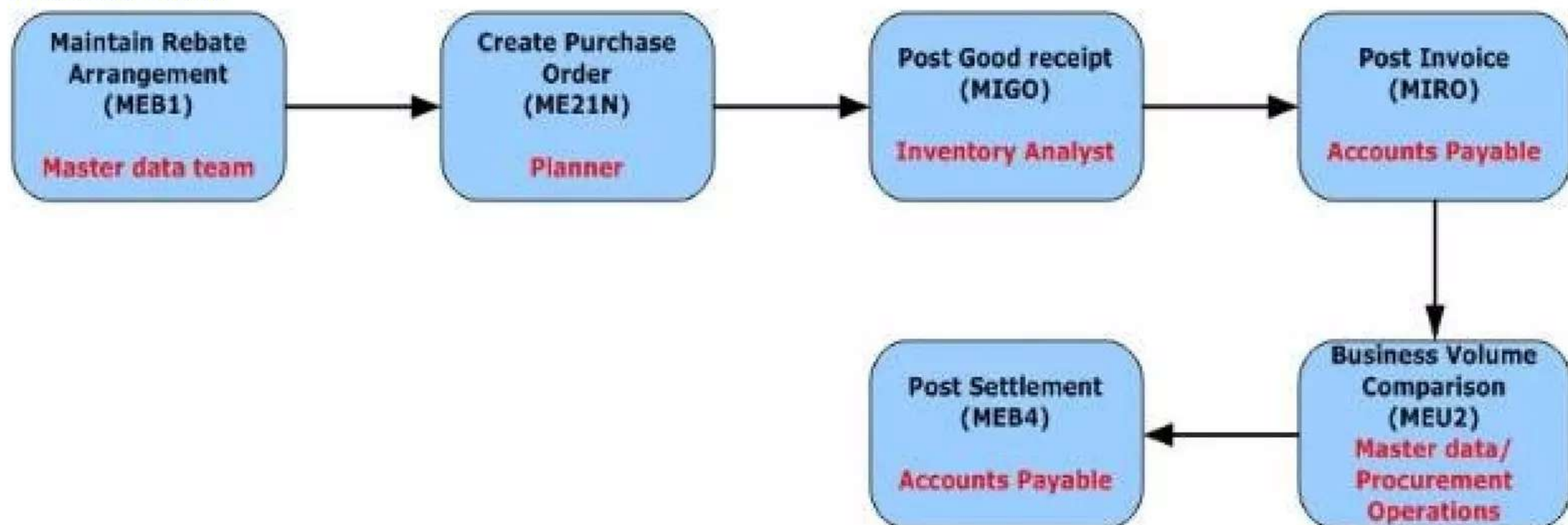
Quantity based conditions (Scales) –

During a certain period if purchase quantity of certain material exceeds the defined limit then discount will come into picture.

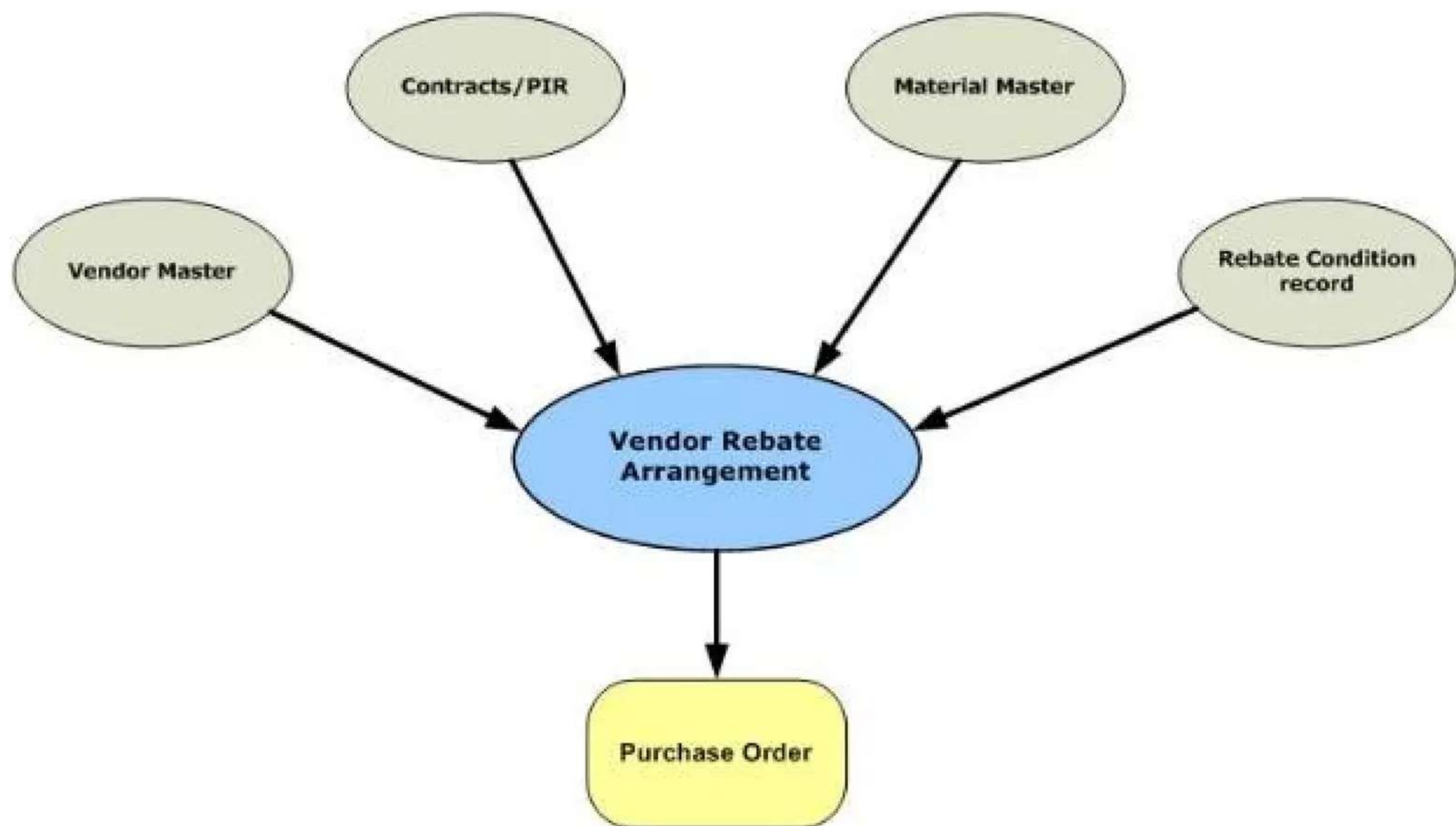
These discounts are in the form of percentage, quantity or fixed value etc. depending on Calculation type in condition type and business requirements

Note: Apart from Value and quantity scales there are other options as well e.g. Gross weight, Net weight, volume, distance etc.

Process Flow



Inputs for Vendor Rebate Arrangement



Master data change – Vendor Master Update

Vendor Master update – Every Vendor rebate relevant vendor needs to be marked with Subsequent settlement indicators

Display Vendor: Purchasing data

Subcontracting Supplement

Vendor: 10025828 NORAMPAC INC VAUGHAN
Purchasing Org.: ES01 EL Companies

Conditions

Order currency: CAD Canadian Dollar
Terms of payment: 3000
Incoterms: EXM VAUGHAN, CA
Minimum order value: 0.00
Schema Group, Vendor: Standard schema vendor
Pricing Date Control: No Control
Order optim.rest.

Sales data

Salesperson:
Telephone:
Acc. with vendor:

Control data

☐ GR-Based Inv. Verif.	ABC indicator	
☐ AutoEvalGRSetmt Del.	ModeOfTransprt-Border	
☐ AutoEvalGRSetmt Ret.	Office of entry	
☒ Acknowledgment-Recd	Sort criterion	By VSR sequence number
☐ Automatic purchase order	PROACT-control prof.	
☒ Subsequent settlement	☐ Revaluation allowed	
☒ Subseq. sett. index	☐ Grant discount in kind	
☒ B.vol.comp./ag. nec.	☐ Relevant for Price Det. (Vendor Hierarchy)	
☐ Doc. index active	☐ Relevant for agency business	

Master data New– Rebate Arrangement - Overview (Screen 1) (MEB1)

Rebate Arrangement Condition record – Similar to info record we need to maintain Rebate arrangement condition record for vendor and material/material group with purchasing organization combination.

Display EL Vendor Rebate 1487 : Overview Agreement			
Conditions			
Agreement	1487		
Description	EL Vendor Rebate		
Condition granter			
Condition granter	10025829	NORAMPAC INC	
Currency	CAD		
External description			
Validity			
Validity period	13.09.2013		
To	31.12.9999		
Control			
Agreement Status	☐ Open		
Summarization level drill-down	05 Plant		
Summarization level verf. stats	05 Plant		
Comp. BV necessary	☒ Partial settl.	☒ Final settl.	
Payments			
Terms of Payment			
Fixed value date		Addit.value days	0

Master data New– Rebate Arrangement - Condition record (Screen 2)
Condition record for rebate condition types (A001) –

  **Display EL Vendor Rebate 1487: Details Rebate (A001)**

Variable key

Purch.Org.	Vendor	Description
EL01	10025829	NORAMPAC INC

Validity

Valid From: 13.09.2013 Valid to: 31.12.9999

Amounts

Amount	13.000-	%
Accruals	13.000-	
Lower limit	0.000	
Upper limit	0.000	

Control

Calculation type	A	Percentage	☐ Rel. to pricing
Scale basis	B	Value scale	☒ Subsequent entry
Scale Type	A	Base-scale	☐ Deletion indicator
Exclusion			
Matl f. settl.	4766010902	SHIPPER/TOTEPACK	

Condition created retroactively

Transactional data – Business volume comparison (MEU2)

User can compare business data with vendor and make changes in business volume figures before settlement.

Rebate Arrangement at Vendor/Material group level –If a vendor is supplying range of materials belonging to **same** material group for different plant then only one rebate arrangement needs to be maintained for one material group.

Rebate Arrangement at Vendor/multiple materials - If a vendor is supplying range of materials belonging to **different** material group for different plant then only one rebate condition record needs to be maintained for range of materials.

Option of quantity scale vs. value scale – Option to have rebate scales based on quantity procured during specified period.

AP payment procedure to vendor in case of rebates – Payments to the vendors are made by deducting rebate amount from total due.

Message to vendor about settlement – 1. Rebate Arrangement creation 2. Rebate settlement run

Rebate partner assignment (Different invoicing party for main vendor) – If ordering vendor is different than invoicing party and payments are going to invoicing party. Then rebate amount has to be debited to invoicing party. This scenario we can map in SAP

Required Configuration data

If P.Orgs assigned to plant not to company code. Then we can not use standard Rebate agreement type. We need to create custom agreement type.

Change View "Arrangement Types, Purchasing": Details

New Entries

Agreement type: ZVDR Plant based rebate

Default values

Proposed valid from	Today's date	
Proposed valid to	2 End of the current year	
Payment Method		
Default status	Open	
Summarization level drill-down	05 Plant	
Summarization level verif. stats	05 Plant	

Control

Cond.type group	ZVDR Plant based rebate
Arrangement calendar	
Time of update	Invoice verification
☒ Different val.period	Cond. record validity period may differ
☐ Final settlement	

Settlement

Minimum status	Open
BV comp/agree. type	0001 Standard
Settlement partner	Creditor
Settlement type	0 Credit-side settlement accounting at plant level
Settlement calendar	
Settlement basis	According to settlement basis in calculation sche..
Settlement scheme	

Credit-side settlement

Partial settlement	BW10	Part.Set.Rebate,Plnt
Final settlement	BW10	Fin.Set.Rebate,Plant

We also need other configuration that is linked to custom rebate agreement type.

1. Assign rebate condition type to rebate agreement type

Change View "Assignment of Condition Type/Table for Agreement": Overview

New Entries

CTyGr	Cond.type group	Cntr	CnTy	Condition type	No.	Table
G001		1	GE01	GTM AC Mat/Cre MM(%)	311	TrCont.no.
G001		2	GE02	GTM AC GL/Cre MM (%)	311	TrCont.no.
G001		3	GE03	GTM AC Mat/Cred (M)	311	TrCont.no.
G001		4	GE04	GTM AC HB/Cred (M)	311	TrCont.no.
G001		5	GE05	GTM AC Mat/Cred Fix	311	TrCont.no.
G001		6	GE06	GTM AC HB/Cred Fix	311	TrCont.no.
G002		1	GE07	GTM AC Debi/HB MM(%)	311	TrCont.no.
G003		1	GD01	GTM Disc/Surch MM(%)	311	TrCont.no.
G003		2	GD02	GTM Disc/Surch MM(W)	311	TrCont.no.
G003		3	GD03	GTM Disc/Surch MM(M)	311	TrCont.no.
ZVDR	Plant based rebate	10	A001	Rebate	7	Vendor/Accounting Gro
ZVDR	Plant based rebate	20	A001	Rebate	8	Vendor
ZVDR	Plant based rebate	30	A001	Rebate	9	Vendor/VSR

2. Number range assignment to rebate agreement type

Range Maintenance: Rebate agreements

Group text	Flag
Element	Element text
Non-Assigned Elements	
4000	Customer Rebate
PREL	Sales Deal 1
PREU	Price Book
Standard number range (volume-based rebate)	
0001	Group Rebate
0002	Material Rebate
0003	Customer Rebate
0004	Hierarchy Rebate
0005	Indep. of Sales Vol.
0020	Sales Deal
0030	Promotion
00E1	Exp. Group Rebate
00E2	Exp. Material Rebate
00E3	Exp. Customer Rebate
00E4	Exp. Hierarchy Rebate
00E5	Exp. Revenue Independ
1000	Rebates
2000	Material Rebate
3000	Hierarchy Rebate
ZB21	Bonification
ZB22	Target Disc Rebate
ZB24	Additional Bonificat
ZB25	Group Rebates
ZB30	Interval Bonificarn
ZVDR	Plant based rebate

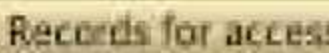
3. Controls of subsequent settlement for rebate agreement type

Change View "Copy control: arrangement type by vendor billing document

Tgt	Billing Type	Source	Arrang. type
BM10	Fin.Set.Rebate,Plant	ZVDR	Plant based reba
BM11	Fin.Set.Rebate,POrg	1000	Rebates
BM11	Fin.Set.Rebate,POrg	2000	Material Rebate
BM11	Fin.Set.Rebate,POrg	3000	Hierarchy Rebate
BM30	Part.Set.Rebate,Pnt	ZVDR	Plant based reba
BM31	Part.Set.Rebate,POrg	1000	Rebates
BM31	Part.Set.Rebate,POrg	2000	Material Rebate
BM31	Part.Set.Rebate,POrg	3000	Hierarchy Rebate

4. Condition type marked with “Accruals” – This is required to get rebate condition type with value in PO as statistical condition type.

Change View "Conditions: Condition Types": Details

 New Entries   			
Condit. type	A001 Rebate	Access seq.	0004 Rebate
			
Control data 1			
Cond. class	C Expense reimbursement	Plus/minus	X Negative
Calculat.type	A Percentage		
Cond.category			
Rounding rule	Commercial		
Changes which can be made			
Manual entries	C Manual entry has priority		
Scales			
Scale base	B Value scale		
Check value	None	Unit of meas.	
Scale type	can be maintained in con		
Rebate			
Rebate proc.	Depend.on sales vol.		
PerCheckRule			
Control data 2			
☐ Currency conv.	☐ Promotion Cond.	Exclusion	
☒ Accruals	☐ Qty conversion		